

Launch Model Decision Matrix

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Idea 1 Launch Model Decision Matrix v0

Concept: BTC Volatility Intermediation Desk

Purpose: Decide the legally and commercially sane launch model before outreach, RFQs, execution, or fundraising claims.

Status: Strategic decision tool. Not legal advice. Requires derivatives/securities counsel review before implementation.

1. Executive conclusion

The best launch model is likely a **sequenced hybrid**, not a single all-in structure.

Recommended path:

1. ****Start as analytics/research + proof package**** — lowest legal friction, builds evidence.
2. ****Add counsel-approved advisory/structuring**** — board-ready treasury/miner packages.
3. ****Use partner-led execution/RFQ**** — avoid premature broker/IB/FCM/BD burden.
4. ****Consider separate prop/fund sleeve later**** — only after data + quotes prove edge.
5. ****Treat structured products as phase 2/3**** — high complexity, partner-led if pursued.

Do **not** start by claiming to be a live execution desk, broker, OTC dealer, or structured-product issuer.

2. Launch options compared

Model	What it sells	Legal friction	Revenue potential	Speed to market
A. Analytics/research company	BTC Vol Desk Monitor, market research, generic case studies	Low/medium	Low/medium	Fast
B. Advisory/structuring shop	Board-ready treasury/miner hedging policy and structure design	Medium/high	Medium	Medium
C. Partner-led RFQ/execution	Quotes/trades through registered broker/FCM/OTC partner	Medium/high	Medium/high	Medium

Model	What it sells	Legal friction	Revenue potential	Speed to market
D. Principal prop/fund vehicle	Own-account RV/vol trading	High	High but volatile	Medium/slow
E. OTC derivatives dealer	Client-facing counterparty/market maker	Very high	High	Slow
F. Structured-product platform	Notes/autocallables/income products	Very high	High	Slow
G. Software/SaaS only	Dashboard/calculators/API	Low/medium	Medium	Fast

3. Option A — Analytics/research company

Description

Build and sell/release the BTC Vol Desk Monitor, data appendices, generic treasury/miner research, and screen-only dislocation reports.

Products

- daily/weekly BTC Vol Desk Monitor;
- cross-venue IV/skew/calendar reports;
- BTC treasury/miner generic hedge research;
- market-structure notes;
- dashboard/API later.

Pros

- fastest to launch;
- lowest regulatory burden if kept generic;
- builds credibility and historical evidence;
- supports all other models;
- useful to investors, treasuries, miners, funds, and counterparties.

Cons

- lower near-term revenue;
- can become “just research” if not tied to client pain;
- not enough moat if data becomes commoditized;
- cannot claim execution economics.

Legal gates

- Avoid tailored advice.
- Avoid transaction recommendations.
- Avoid performance/return claims from screen-only data.

- Review CTA/RIA implications if paid/subscription advice covers commodity interests or securities.

Revenue

- subscription;
- enterprise dashboard;
- custom research under legal review;
- sponsored/partner research only with conflict controls.

Decision

Yes — start here. This is the evidence spine and the safest MVP.

4. Option B — Advisory/structuring shop

Description

Provide company-specific treasury/miner hedge design, board policies, scenario analysis, and structure recommendations.

Products

- BTC treasury board policy;
- covered-call/collar program design;
- miner production hedge program;
- accounting/disclosure/covenant checklist;
- RFQ package preparation;
- board/investor education.

Pros

- strongest commercial wedge;
- maps directly to pain;
- higher revenue than research;
- creates sticky relationships;
- generates future RFQ/execution flow.

Cons

- legal perimeter is materially heavier;
- may trigger CTA/RIA issues depending instruments and compensation;
- public-company advice requires counsel/auditor/lender coordination;
- cannot casually recommend specific derivatives.

Legal gates

- CTA/RIA analysis.
- Public-company governance/disclosure controls.

- Compensation model review.
- Communications policy.
- No transaction compensation unless approved.

Revenue

- advisory retainer;
- fixed-fee board package;
- implementation planning fee;
- legal/counterparty partner referral only if counsel-approved.

Decision

Yes, but only after counsel-approved scope. This is the best commercial wedge.

5. Option C — Partner-led RFQ/execution model

Description

Use registered/approved brokers, FCMs, OTC desks, swap dealers, prime brokers, or structured-product issuers for quotes and execution while the platform provides analytics/structuring.

Products

- quote-verification board;
- best-efforts RFQ comparison under partner model;
- broker/FCM/OTC introductions if legally approved;
- execution support handled by registered counterparty.

Pros

- practical path to quote verification;
- avoids premature broker/FCM/BD buildout;
- gives clients real quotes;
- supports investor evidence;
- can evolve into revenue-sharing if legally approved.

Cons

- lower economics than owning execution;
- dependency on partners;
- potential conflict/disclosure issues;
- transaction compensation risk if not structured correctly.

Legal gates

- No order solicitation unless approved.
- No transaction-based comp unless counsel-approved.

- Partner agreements.
- Client disclosures.
- Role clarity: analytics provider, adviser, solicitor, broker, IB, or agent?

Revenue

- partner referral/revenue share only if approved;
- advisory fees separate from execution;
- data/subscription;
- eventually execution economics via registered partner.

Decision

Preferred execution route for phase 1/2. Do not build own execution desk first.

6. Option D — Principal prop/fund vehicle

Description

Trade own capital or pooled capital in cross-venue BTC vol, skew, basis, and calendar dislocations.

Products

- internal prop sleeve;
- private fund;
- managed account;
- risk-recycling vehicle;
- hedge book for client-flow residuals later.

Pros

- upside if edge is real;
- validates analytics with P&L;
- can monetize dislocations without client-advisory complexity;
- useful for hedge recycling later.

Cons

- requires capital, risk infrastructure, drawdown tolerance;
- fund launch triggers CPO/CTA/RIA/private fund issues;
- prop returns are volatile and capacity-constrained;
- can distract from stronger client-flow wedge.

Legal gates

- Own-account trading vs pooled capital distinction.
- CPO/CTA/RIA analysis for fund/managed accounts.

- Exchange/FCM/custody/margin setup.
- Risk policy and valuation controls.

Revenue

- prop P&L;
- fund management/performance fees;
- risk warehousing economics later.

Decision

Later and separate. Do not lead with this until quote/trade evidence exists.

7. Option E — OTC derivatives dealer / market maker

Description

Act as counterparty to clients in BTC options/swaps/collars and hedge risk across venues.

Pros

- highest strategic control;
- captures spread;
- direct risk intermediation;
- aligns with long-term desk vision.

Cons

- very high legal/regulatory burden;
- capital-intensive;
- swap dealer/dealer analysis;
- ISDA/CSA/collateral operations;
- public-company counterparty diligence;
- risk of catastrophic controls failure.

Legal gates

- swap dealer / broker-dealer / commodity option analysis;
- ECP/client eligibility;
- ISDA/CSA;
- margin/collateral/custody;
- counterparty credit;
- market conduct/compliance.

Revenue

- bid/ask spread;

- structuring margin;
- hedge-recycling P&L.

Decision

No for day one. Long-term optionality only.

8. Option F — Structured-product platform

Description

Create BTC-linked notes, reverse convertibles, autocallables, buffered notes, defined-outcome products, or yield products.

Pros

- large wealth/private-bank market;
- packaged product economics;
- scalable if distribution exists;
- natural buyer base for BTC yield/protection.

Cons

- securities law heavy;
- issuer credit/risk disclosure;
- product committee and suitability requirements;
- FINRA/Reg BI/RIA issues;
- tax and secondary valuation complexity.

Legal gates

- registered offering or exemption;
- broker-dealer/FINRA/RIA;
- product approval;
- disclosure;
- issuer/hedge documentation;
- suitability/client eligibility.

Revenue

- structuring margin;
- issuer/distributor economics;
- hedge spread;
- advisory fee.

Decision

Not day one. Partner-led later if quote-verified demand exists.

9. Option G — Software/SaaS only

Description

Pure dashboard/API/calculator company for BTC vol surfaces, treasury/miner scenario analysis, and RFQ recordkeeping.

Pros

- clean productization;
- scalable;
- lower legal risk than advice/execution;
- useful for clients and partners;
- creates data moat if history and quote evidence accumulate.

Cons

- may under-monetize high-value structuring;
- harder to sell without advisory context;
- requires engineering/product support;
- can be copied if not paired with workflow/relationships.

Revenue

- SaaS subscription;
- enterprise licenses;
- API access;
- dashboard seats.

Decision

Useful infrastructure layer, not the full business. Build as internal tool first.

10. Recommended sequenced launch

Phase 1 — Evidence company

Duration: 0–30 days

Model: analytics/research/internal proof package

Build:

- daily BTC Vol Desk Monitor;
- treasury/miner calculators;
- legal perimeter;

- RFQ board;
- investor deck;
- data history.

Revenue: none or research/pre-commercial.

Goal: prove the package is credible.

Phase 2 — Counsel-approved advisory wedge

Duration: 30–90 days

Model: advisory/structuring within approved scope

Build:

- board-ready BTC treasury package;
- miner hedge package;
- counsel-reviewed communications;
- pilot-client discovery;
- counterparty map.

Revenue:

- fixed-fee advisory;
- retainer;
- research subscription.

Goal: validate client demand without execution overreach.

Phase 3 — Partner-led quote verification

Duration: 60–120 days

Model: partner-led RFQ/execution evidence

Build:

- legally approved quote process;
- two independent quotes per key structure;
- quote repository;
- updated case studies;
- execution partner workflow.

Revenue:

- advisory fee;

- partner economics only if approved;
- enterprise subscription.

Goal: turn screen-only economics into quote-verified evidence.

Phase 4 — Risk/revenue expansion

Duration: 120+ days

Model: choose based on evidence

Options:

- prop sleeve;
- private fund;
- execution partnership;
- OTC desk partnership;
- structured-product issuer partnership;
- SaaS product.

Goal: scale only where quote/trade evidence and legal structure support it.

11. Decision criteria

Choose analytics-first if:

- legal budget is limited;
- data pipeline still needs hardening;
- no quote evidence yet;
- investor materials need credibility;
- client access is preliminary.

Add advisory if:

- counsel approves scope;
- treasury/miner packages are board-ready;
- clients want specific help;
- compensation avoids transaction-risk issues.

Add partner execution if:

- registered/approved counterparties are available;
- RFQ process is legally clean;
- quote evidence is needed;
- clients need implementation path.

Add fund/prop if:

- repeated quote/trade evidence exists;
- risk-adjusted edge is durable;
- capital and risk controls exist;
- strategy is capacity-aware.

Add structured products if:

- distribution partner exists;
- product approval is feasible;
- suitability/disclosure can be handled;
- hedge economics are quote-verified.

12. Recommended near-term answer

If forced to choose today:

> Launch as an analytics + board-level structuring platform, with legal review for advisory scope and partner-led RFQ/execution, while keeping prop/fund and structured-product paths as later optionality.

Do not raise or sell it as:

- a live arbitrage fund;
- a broker;
- a swap dealer;
- a structured-note issuer;
- a client execution desk.

Do raise/sell it as:

- evidence-backed BTC vol market intelligence;
- treasury/miner hedge design;
- quote-verification workflow;
- future risk-intermediation platform.

13. Next required decisions

1. Who is the initial legal counsel for CTA/RIA/BD/IB/FCM/swap/structured-product review?
2. Is the first commercial product paid research or advisory retainer?
3. Are there existing broker/FCM/OTC relationships that can provide legally clean quotes?
4. Is the first investor ask for operating budget, data/counsel budget, or risk capital?

5. Should the first client package target BTC treasury companies or miners?

Recommended answers:

1. Counsel first, before client-specific outreach.
2. Paid research/analytics first; advisory only after counsel.
3. Partner-led quotes, not self-execution.
4. Raise validation budget, not trading capital.
5. BTC treasury companies first, miners second.

14. Bottom line

The best business is a staged platform:

1. **Evidence engine** — data, monitor, screen board.
2. **Structuring wedge** — BTC treasury/miner packages.
3. **Quote verification** — partner-led RFQ evidence.
4. **Risk intermediation** — principal/fund/structured-products only after proof.

This sequence protects credibility, reduces legal risk, and keeps the concept institutionally serious.